Austan Goolsbee Is Worried the Economy Is Overheating

Podcast: Odd lots

AI Executive Summary

1. Core Thesis The episode analyzes the current state of monetary policy in an era defined by persistent service inflation, AI-driven structural changes, and a potential paradigm shift in Federal Reserve communication strategy. Guest Austin Goolsbee argues that while long-term productivity growth from AI may raise the neutral interest rate (R-Star), short-term policy must prioritize monitoring whether inflation shocks are transitory or structurally embedded, particularly within the services sector, amidst a move away from rigid forward guidance toward market-informed reaction functions under Chair Kevin Warsh.

2. Key Arguments & Data

3. **Restrictiveness & R-Star:** Monetary policy restrictiveness is best measured by real rates (nominal rate minus inflation). Goolsbee notes that while AI is expected to increase the long-run neutral interest rate (R-Star), its short-term impact depends on whether technology-driven productivity is perceived as an "unexpected" bounty or a risk of economic overheating.
4. **Inflation Drivers:** Post-pandemic inflation was composed roughly two-thirds by supply shocks (tariffs, one-time oil price spikes) and one-third by demand. Current sticky inflation in services is not driven by tariffs or oil but represents a deeper structural concern that suggests the economy may require more restrictive policy than standard cycles suggest.
5. **Fed History:** The Fed deserves credit for its aggressive hiking cycle (2022–2023) because it avoided losing the 2% inflation anchor; evidence from tip-of-the-tip CPI (2.3%) correlated closely with the target despite high headline inflation, suggesting an "immaculate disinflation" was achievable without a deep recession.
6. **AI & Investment Impacts:** High investment in AI data centers is causing localized supply constraints (e.g., labor, construction materials in Iowa) and driving up prices, but this sectoral pressure has not yet

translated to aggregate GDP or unemployment indicators showing systemic overheating.

7. **Communication Shifts:** Under Chair Warsh, there is a move toward less forward guidance (to avoid "tying hands") and more reliance on the bond market as a signal for policy reaction. The FOMC will focus more on defining the "Reaction Function" than making specific predictions. Dot plots may be repurposed to visualize the committee's worldview rather than act as binding forecasts.

8. **Dissent & Voting:** Official dissents are rare (historically low), but silent dissent exists among non-voting members who would dissent if permitted. Goolsbee expressed dissatisfaction with front-loading rate cuts due to persistent inflation uncertainty, noting he was not subjected to "mean and nasty" calls despite his opposition.

9. Actionable Takeaways

10. **Monitor Services Data:** Investors and policymakers should pay closer attention to services sector inflation trends rather than focusing solely on total CPI/PCE averages, as this appears to be the driver of persistent price pressures.
11. **Expect Communication Changes:** Anticipate a shift in Fed press conferences and FOMC minutes that prioritize explaining the reaction function over predicting future rates; do not treat current forward guidance as immutable commitments given the emphasis on Warsh’s new directive.
12. **Assess AI Risks:** View AI investment not just as a productivity booster but as a potential source of short-term supply-side inflationary pressure through resource competition, particularly in construction and utility sectors.

Full Transcript

Hi, I'm Barry Rithaltz, inviting you to join me for the Masters in Business podcast. Every week we bring you conversations with the people who shape markets, investing and business. I speak with CEOs, Nobel laureates, market innovators and legendary investors. Whether you own stocks, bonds, real estate commodities, even crypto, these are discussions you absolutely need to hear. Subscribe to the Masters in Business podcast on Apple Spotify or anywhere you listen. Bloomberg Audio Studios. Podcasts. Radio. News. Hello and welcome to another episode of the Odd Laws podcast. I'm Joe Wiesenthal. And I'm Tracy Allaway. Tracy's still here in Jackson Hole. We are recording this. What is the 27th? So before... Chairman Warsh's big speech, et cetera. But when we're here in Jackson Hole, we have to talk to as many people as we can about the state of monetary policy, the economy, central banking, all the good stuff we love to talk about. Yeah, definitely. And we don't play favorites on the show, but one of our favorite Fed presidents. We don't play favorites. What? If we were to. That's right. We're going to be speaking with Austin Goolsbee of the Chicago Fed. That's right. Literally the perfect guess, someone we've had on several times. So Austin.

Thank you so much for coming back on our watch. Thank you for having me. You've seen Moose. No Moose. Trisha's so bare. Trisha's so bare. You saw a black bear along with some of our producers yesterday. It's very exciting. I've never seen one here before, so. Hopefully not indicative of any idea in the broader economy. There's so many places to start. How about a simple question. Right now, when you look at where the Fed has rates at, when you look at the curve, when you look at the state of the economy, Would you characterize policy as restrictive right now? Depends what you think the underlying inflation rate is. Let's not forget. What matters is the real rate, rate minus expected inflation or actual inflation over some period. In the long run, where do we think it's going to end up? I loosely think 3% rates with 2% inflation and 1% real is kind of a eventual landing spot. The real rate, if the inflation rate is three plus percent, the real rate is a lot lower than if inflation is headed back to target. So you can't, I don't think you can really answer that without saying, I'm okay with waiting

to see, but I'm a little nervous that the inflation side has over the last six months not been looking great.

not to get too technical right at the jump of this conversation. But when we talk about the restrictiveness of monetary policy, I mean, we're talking about where it sits next to our star and our star is unobservable at the best of times. And now we're in this environment where I don't think anyone would disagree that we have this huge structural change in the form of AI. Do we have any more confidence in the neutral rate of interest versus where we are in terms of restrictiveness? I love, you know, I was an academic for 30 years. So I love saying, let's get out of the world of theory. You know, let's get back in the, I always called R star R Sasquatch. And, you know, somehow it feels with this as a backdrop because you can never see it until after it was left. And, you know, here was a footprint. And when I say that it's because I don't think R star.

that while the concept exists, I don't find it helpful for me in determining, well, what should the next monetary policy move be? Because it's not observable. Even in the best of times, not observable. That said, I think if you start thinking longer run, what does an increase in the productivity growth rate do to our star? I think it increases it because faster growth, you got to have a higher steady state interest rate. And I gave a speech last year at the last Hoover conference that was kind of thinking about if you think AI is increasing productivity, it makes a big difference to what that means for the here and now R-Star. Is this expected or is it unexpected? So if it's unexpected landing on you, then inflation goes down and in a way people aren't adjusting their behavior in the short run and rates can go down. But if the bigger the hype, the more we're about to have a giant bounty that's gonna come from technology, you could easily overheat the economy in the short run and you have to raise the rates. And we kind of live that through the mid to late 90s. Yeah, that's right. How about we maybe try to reverse take the question from the opposite direction? So setting aside theoretical questions about our star, setting aside how we would measure restrictiveness. Let's just take your point. The inflation data is still warm. There are signs that it's going in the wrong direction, even if you know here, whatever.

Why? Well, how would you decompose the drivers? Look, that's what we're trying to figure out. I was saying before, even before Liberation Day, as the tariffs came in, I warned, you'll remember, let's be careful. We learned during COVID that if a supply shock that is supposed to be transitory, if it's big enough, can end up taking a lot longer than we initially forecast. And that was my fear that while one and done tariffs are supposed to be an increase to the price level, increase to the price level and a temporary inflation shock, where was the evidence that that was true? We've been dealing with that to add a oil price war-driven price shock on top of it before that one went away. That's a dicier proposition. Some component of the increase in inflation is from those two parts, tariffs and one-time increase in price of oil, which hopefully should go away as inflation. But if you look at services, that's not really caused.

from tariffs, that's not really caused from oil prices. That's a deeper level of concern. So in my, is it a decomposition? I'm hopeful that much of it came from those temporary slash transitory factors. I'm giving myself hives even using that word. And if so, then we should see it. It should go away. It can't be that each quarter we say, ah, yes, it's about to go away just not yet, you know, three months from now. And so that's why I was OK with if we get one or two readings of inflation that are moderating, it's perfectly fine to say, let's wait a meeting or two meetings or whatever. Let's see if this is the heralded introduction of the temporary part.

So in a normal world these shocks are supposed to be again using the dreaded T word transitory like one off levels to the price and then they kind of fade away. I think it's fair to say in recent years, we've seen shock after shock after shock. Do you think that the central bank needs to start incorporating that kind of uncertainty into its mandate? Just assume that the world's more in tune. Sorry, not into the mandate, into its thinking. Yeah, into its thinking, yes. I think you're honest. It does feel like we're getting more supply shocks. The traditional world shocks. aren't the main thing happening. It's not commodity prices. Normally the grubby reality of the business cycle, demand driven unemployment goes up when inflation goes down, inflation goes up when unemployment goes down. When both of those things are moving together, like what happens with these supply shocks, there's not an automatic playbook of what to do.

I do think that we at the Fed and the central banks all around the world should be contemplating at the least, what are you going to do if we're going to get more and more shocks? That's a slightly different. You kind of raise a second point, which is with the tariffs and with the war. Here, I think that has piled this uncertainty on top of itself. And I think that's what's led in the labor market to this kind of high low hiring, low firing, which is not a normal combination. I think it's a combination that characterizes uncertainty. So yeah, we should start thinking that way. Just on AI real quick, look, none of us know what AI as a technology will mean for productivity, hopefully.

great things happen. In the here and now though, there's another factor that people talk about, which is just there's an extraordinarily high amount of spending going on in the build out of it. And I'm curious on both the maybe like theoretical level, but also in a conversations that you have with businesses in your district level, does that show up? Does it feel like, okay, If we look at supply chains, they are getting tighter because companies that are building this out are competing for real resources, whether we're talking about labor, materials, commodities, parts and so forth. Yes. And you hear it from business executives. But in some ways, I feel like maybe too much. Interesting. That if you look at the price pressures coming from AI data centers to build out of.

very high investment. This isn't the first time that there have been, there's been high investment as an indicator of economic growth. But the overall overheating of the economy is kind of the deeper question. Sectoral AI is going up and some other industry is competing for electricians and construction and complaining bitterly about that. That's not the same thing as the economy is overheating. It has to get out of its lane of just direct competition and drive up wages, drive up prices outside of just its lane, because if this one going up leads this one to go down in the aggregate, in a way, the national unemployment rate and the national GDP growth rate tell you a lot about where you are in the...

in the aggregate economy. That said, you hear it, you go around the Midwest, the Chicago district is kind of hard to the Midwest. We're in Iowa, we're in Cedar Rapids, Iowa. I'm like, what's the biggest problem? And

they're like, the data centers are buying up all the land. They're driving up the prices. Nobody can construct, can do any construction. You can't get, you can't get an HVAC person. So, it doesn't feel like we're far from what is the sort of traditional access demand and outputs above potential and that's driving up inflation. And if it does, back to your first question, then we're not restrictive enough. If that starts happening in the aggregate, we're not restrictive enough. I don't know how to say, is this restrictive or not restrictive?

everything's relative to something. And if inflation starts going the wrong way, driven by just old-fashioned investment is so high and growth is so high that we're getting that impulse, then I think it's not restrictive enough. It is true that people complain about not being able to get contractors, like, all the time. And now it's just, oh, it's the data center. That's what I mean, kind of. That's filled into the boogeyman is, if you can't find an electrician, I half expect people to be like, I need to go to the dentist. They can't see me for three weeks. Thanks a lot, data centers. Well, okay, what's the difference when it comes to Fed policy between an economy that's growing mostly because of consumption versus an economy that's mostly growing because of investment? Like how do you treat that difference? In the short run, it's probably not that different. Just in the business cycle sense of there are many different ways you could go. We've seen overheating from housing instruction getting out a little faster than the economy can handle. We've seen consumer spending, savings rate go to zero, consumer spending's faster than economy can handle. We're seeing a business investment-driven threat to more than economy can handle. In the short run, if it's demand-driven, I kind of think it's not. Fed has a very unsophisticated tool. We can raise the interest rate, lower the interest rate.

what makes it work is that usually the most cyclical industries are the most interest rate sensitive industries. So it kind of does make sense that the Fed be the tip of the spear. If by that question you're asking the deeper thing of well, what does it mean long run, you hope that the investment will enhance potential output in the future. So then it would be different. down the road five years, 10 years, if productivity growth remains high. But then we're also sort of back to our discussion of, well, what does that mean for rates long run? I actually think rates could be higher if the growth rate is higher

for all the best reasons. That's the mana from heaven. Productivity. We would love that. We would love that normalization if we could grow 3% a year and incomes are growing without inflation because of productivity growth. At the same time, let's be a little wary. I've been from early on highlighting maybe some of this technology is raising the productivity growth rate, but We've now gotten six months in a row of pretty crummy productivity growth. So let's not all conclude before it's actually manifested that we've had a change of era. I want to keep speculating about what the future is going to be. But I want to ask one more question about the past, actually. Because we've actually had a few different over the years, we've had a few different versions of this conversation, this question.

Inflation has come down quite a bit from its peak in the post-COVID era. But there's this question of why, right? Because the unemployment rate never took off. It was kind of immaculate. Except there has been significant housing cooling. In a different era, they used to say the housing market cycle is the business cycle. That hasn't been the case in several years now. It's totally disconnected. Do you have any sitting here in August, 2026? And you look at the housing continue to be soft. You look at where inflation is, maybe signs of it gathering steam again from an elevated level. Do you have any theory of the case of the last few years of the relationship between what the Fed did, the hikes and what they really did to the economy and how much they contributed to taking the economy off the boil in 2022-2023?

I thought you're going to go a different way back to the old, how much was supply and how much was demand in the rise up in inflation. Yeah, but I'm sort of talking about what you did, the aggressive rate of rate hikes. I think the aggressive rate hikes, the shoe that did not drop, I think that supply was a major driver of the run up to inflation and the healing of supply eventually was a major component of the drop to inflation. As long as you say that, as long as you're not trying to have it both ways, and both sides, it feels like in that debate, want to have it both ways in the sense they want to blame the run up on fiscal policy, say, and the fiscal and monetary policy, that it was all about stimulus. And then they say, well, why did it come down?

then they want to say, no, no, that was, they don't deserve any credit for that. That was all from supply chain healing. I think it was loosely two-thirds supply and one-third demand then. I wasn't there when it went up, so I can't play, you can't play me. But I do think that the Fed's aggressive action permitted the one shoe not to drop that was hugely important. And that is at the P side note for, for odd lots of listeners, you will know that historically CPI of 2.3%, we kind of think correlates with a PCE of 2.0%. Even as CPI was pushing close to 10% inflation, if you looked at inflation compensation in the tips, it remained steadily at 2.3% CPI. So exactly 2% inflation target. To me, that was a piece of evidence that having a 2.0% inflation target was exactly the anchor that its advocate said. And I think it was critically important that the Fed not lose control. If they had lost the anchor, I think we would have had a heck of a time trying to get rid of the inflation. So I think the Fed deserves a lot of credit at that moment. And then the, if you had plugged into chat GPT or some AI trained on all the data through history and said inflation is double triple the target, what should the Fed do? It would have said, Jack the interest rate up to 20% and have a huge recession because that's the only way you ever get rid of inflation. And I do think the Fed's understanding that there was a component that was not going to be permanent and that the much maligned or mocked, immaculate disinflation was in fact possible. I do think that the Fed deserves credit for recognizing that too.

On the other side, they were slow out of the gate. There's no way you can't look back and say they weren't. They clearly weren't. gain insight on the innovators, disruptors, and tech-driven trends shaping today's complex economy. I'm Carol Masser. And I'm Tim Stenevich. Wrap up your work day with the Bloomberg Business Week Daily Podcast. We bring you deeper dives into the stories shaping your world from the evolution of AI to the shifting priorities of global business. Plus Silicon Valley power players and the latest tech trends. Catch up on the conversations you miss during the day. Subscribe to the Bloomberg Business Week Daily Podcast on Apple, Spotify, or anywhere you listen.

So since you brought up tips, we should talk about the bond market, right? So we're at this weird point in time in the bond market where like short term rates still pretty steady. The longer term yields have been going up. Tips

haven't really been pricing in that much inflation. So when you look at bond yields at the moment, especially at the long end of the curve, like what is that telling you? If you're a central banker or you're one of the Fed heads, don't get into every blip in Twitter of the bond market. I kind of think you need a little bit of time to sort out what's driving it. Long yields going up. Could be people are expecting inflation. Could be people think that the Fed is going to have to be on a path that that rates will be higher. Could be there's a lot more competition in issuance and just more bonds getting put out. And it's probably some combination of of all of those, I don't put that much credence on the argument that there's a general freak out about the creditworthiness of the United States, because if you really think that a country is going to experience default, the rates aren't whatever, five percent, you know, five and a quarter percent. That's just a historically pretty normal rate. So I think, look, we're watching that.

it does have an impact on the economy but whenever you're looking at market reactions you got to think a little bit about this reflection problem that part of it is what do they think the Fed is going to do and so I don't like but Paul Volker used to tell me our job is to act and the market's job is to react And let's not get the order mixed up. And that's kind of where I start. This is exactly what I was going to ask you next, because Kevin Warsh has gone on the record saying that he thinks there should be less forward guidance from the Fed and that the market should be playing more ball versus being the referee. So he's suggesting that the bond market can send a useful signal through yields to policy. I think you learn a lot from bond markets.

As you know the rules I don't speak for anybody else or weigh in of what somebody else's messages Personally I speaking only for myself. I agreed with the and I think it's healthy in a general way to Refresh every once in a while what what any organizations doing and it have a rethink but on the specific thing of should we have less forward guidance of saying, here is where we think rates are going in the next six months. If X thing happens, then I promise I'm going to vote for an increase, a cut, blah, blah, blah. I think that adds to volatility and threatens to get us into a tying of our hands that I don't think is healthy. So I have embraced this. Let's engage in less forward guidance.

That's different from should the market tell us what to do? I'm not a fan of the Federal Reserve Act says by law what we're supposed to look at. Maximizing employment, stabilizing prices, doesn't say anything about stock market, doesn't say anything about bond market. So gathering information from them, I'm totally for using that as a, ah, then that's what we should do. I'm Wes. Well, speaking then of communication technologies, the thing that always makes me feel very old is reminding people that press conferences, dot plots and so forth, are very recent innovations. And they were brought in because the Fed had a specific problem in 2008, 2009, et cetera. They solved the problem, perhaps, at the time. As we think, what is suitable for this new era?

Could could it say like maybe it doesn't make sense to have press conferences Maybe dots about live their usefulness. Maybe we don't need as many meetings as we used to have or something like that It should all these things be on the table in terms of like you've seen the table I always say the biggest table I've ever seen in my life is the FOMC table. Yeah There's room for plenty of stuff on that table all of that should be on the table. They've we've we have this outside task force headed by outside folks that's contemplating a lot of these issues about communication. I think it's healthy. Let's rethink all of those. You're right to remind the history. We were at zero. The interest rate was at zero. And if you plugged into the formulas, what should the interest rate be? It was like 86%. And so the Fed at that time was facing unprecedented challenges and they were trying to follow. What do you do when the interest rate is already zero? And giving forward guidance in an environment where you're at the zero lower bound, where you're like, not only is the rate not going to go up, it's not going to go up for years. It's not going to go up till the unemployment rate comes down.

All of those things can work at a time. The Evans Rule, each of those is kind of a creative solution to a problem that they were facing. We're in a totally different environment. And so we should think through all of those. Joe, do you remember, I think when the feds first started the dot plot, we were both at Bloomberg. Do you remember? We were not at both at Bloomberg. Oh, were we not? No, it was early. It was definitely earlier than that. But I do remember. You were at Bloomberg. I was at Bloomberg. Well, I remember there was this all-hands committee at one point to try to figure

out a way to display the Fed's dot-pros. This part is true. Yeah. As it became clear that this became a thing, there was a lot of efforts to formalize the presentation of the dot-pros in graphically. I thought you were going to say this is like our...

my mom's generation. Everybody remembers where they were when John F. Kennedy, but you remember the day that Dr. Block came out. I remember where I was when the BOE retired the fan charts. I was really sad about that, but that's it. Wait, so, okay, you talked about the Fed was trying to solve a problem with rates at the zero bound in terms of communications. the problem that you think the Fed is trying to solve now in terms of comms, like why have the task force other than there's a new Fed chair and he wants to do this now? Well, I mean, the new Fed charity wants to think through some of these issues. I think we're not anywhere near the zero lower bound. So some of the logics of the communication tools that existed before, we should revisit. And I've been on public record for years about the SEP. I don't like Anytime the members of the Fed are writing down what they're interpreting as predictions that don't turn out to be true, I think you pay a little price in terms of credibility, that people can go back and look and say, wait, aren't you the bozos who said that by now, whatever, inflation would be 2%, the unemployment rate would be something.

It asks about one year, two years, three years ahead and the long run. Do we really need all of that? That was my expressed starting point. And in the dot plot itself, I find it can use a purpose. I think it's important that the world be able to understand something like the reaction function, worldview of the members of the committee. And in a way, the dot plot could serve as that, except the assumptions are not tied to the rate of the dots. So to quote the median inflation and the median rate, but that's not necessarily the same person. And so it doesn't actually serve as a reaction function. I think there's a lot of things you could do with the SAP. I'm actually glad you brought up reaction function as a distinct thing from forward guidance. Because I feel like when people talk about the Fed, they are distinct, and they often get conflated. Agreed. And so people say, we don't want forward guidance. And they say, oh, we're not going to hold the market's hand. We're not going to say what we're going to do the next two minutes. It's like, great.

There's no reason for the central bankers to be pre-committing what they're going to do. Nonetheless, it strikes me it's still valuable to have some understanding of how the central bank is thinking about its tools in relation to the data. And what do you see in the world? That's where my head is. So when I say forward guidance, I mean literally of the form. Here is what I intend to do with raids. Here is what I think is the appropriate rate move at the next meeting. And it's the tying of hands. That's different from, here is how I see the economy right now. What am I looking at? I'm looking at inflation. I really want to see that inflation is not persistent, that we are coming into that, they're related, of course, but they're different. But like I think like, so for example, in the 2010s, or coming out of the GFC, it was important for the Fed to communicate that if you get a hot inflation print here or there, we're not going to react too much because right now, here is the way we see it. It's important for us to get the employment right down.

Then comes 2022 or 23 and the Fed needs to communicate. You know what? We might get a little labor market softness, but we got to smash that inflation down. And that is our thing. To my mind, that's reaction function. I agree with you. And I'll give you a tiny microcosm. When I first got to the Fed at the beginning of 2023, there was a lot of public discussion about the can inflation come down? And people said, no, it can't come down because look at how fast wage growth is. And wages are the lion's share of costs and services. So inflation can't come down until you see wages come down. I don't think that's correct, but I think that gets the dynamics wrong. They're forgetting that wages are stickier than prices. So when shocks hit, it tends to be prices go up first. You see the price inflation.

then the wage inflation, and then it comes down, and then the wages come down. So in the short run, this is a reaction function, call it reaction function, but it's just, here's my worldview of what I'm watching in the economy and why I don't, if I see wage growth is high, that doesn't make me nervous that inflation can't come down. So just the last part of this question. Chairman Warsh's press conference have been different so far, have been different from his predecessors. They say if we're guidance here it's coming to an end fine. I don't feel like I have yet to establish a handle on what his reaction function is right now. And I'm curious if you, in the committee, feel like you have a fear. You constantly try to get me in trouble.

Yeah, of course. I'm not allowed to talk about somebody else's reaction function. And you're like, no, no, OK, don't ask me. What do you think his reaction function is? I'm not going to tell you what the chairman's reaction function is. Go ask him.

What is reaction function is? I'm telling you mine. Every cell-side analyst note that has come into our inbox for the past five or six weeks has been talking about the need for clarity on the Fed's reaction function or something about the reaction function. How would you? You want me to speak for the committee? I'm not allowed to. I can tell you, here's what's the group B reaction function. We'll settle for that. What I'm looking at is especially tuned to the inflation side. I thought front loading of rate cuts. The reason I dissented, I'm not a voter this year, I was last year. The reason I dissented in the last meeting of the year when they cut rates was I'm not comfortable front loading the rate cuts, counting on this inflation to be transitory and go away. I want some evidence that it is going away, that we are headed back to 2%. And if we get that, then I'm totally fine. The strap put on the seat belts, we're headed back to the 321 that we talked about before. Not only did our progress, we were making substantial progress on inflation, then it stalled out, then it started going the wrong way. And now we've had a...

not a blip but a bit. We've had a bit of easing of inflation, but it's still, it's still iffy. And so my reaction function is heavily geared toward, I need evidence that inflation, that this inflation shock is not gonna be persistent. And I'm okay with waiting as we're getting that. But if the evidence starts coming back, especially on services, that it's high, it's going the wrong way, we're not making progress, then I'm going to be nervous. Wait, can I ask a personal question? I might not answer it. That's fine. That's your right. But what's it like when you dissent? Does it make you nervous to dissent? I was afraid, like, uh-oh, are they going to come? The goons are going to come punch me? They didn't really.

It was, I wasn't alone. And people are, I found them respectable. I had laid out my criteria. I was expressing multiple times. Hey, okay, we're doing this, but I'm really uncomfortable with front-loading too many rate cuts. And if you remember that was the meeting where The government was

literally shut down and we didn't even have the data. So my thing was, let's not just keep, we don't even know what's in the data. Let's at least get some data before we act. So there wasn't, I didn't get any mean and nasty calls from the chairman or the other committee members. So plenty of in the public, you jerk. But it's a deliberative body. as we've talked about many times. And people take the job real seriously. And everybody's comes there with a worldview and it's okay. We've seen a little more dissents lately than in the immediately preceding period, but by historical standards, there's still way fewer dissents nowadays than there were before.

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at every meeting. So to that extent there are silent dissents if there are people sitting around the table who if they were a voter they would be dissenting. They just have no way to express dissent except to go out and say in public here's what I think about the economy. So to that extent of course there are silent dissents. It sounded like a little bit there making an argument though There's people voting differently than what they think. That'd be a different type of silent dissent. That hasn't been my experience. But look, the minutes come out and you see basically what everyone says. And in a couple of years, you'll start getting the word for word transcripts.

I know, we just have to wait five years. I can't wait. I'll actually see. Well, this actually leads to my final question. That was four years, nine months. Oh, okay. That's right. Yeah. Well, but this is actually good for my final question, which is that I think last year here at Jackson Hole, one of the

questions I asked you and it had to do with dissents was the sort of like the wire dissents generally rare. And is it because you generally see the view? Did you see the thing similarly or is the chairman particularly good at like more or less corralling the FOMC? Does it seem like right now? And I said both. OK. But I think you primarily said that you credited Powell. Chair Powell was quite good at that. So we'll read these transcripts in four years and nine months. But in the FMC, does it feel any different than it did under the Powell era? It feels very different. I mean, just personally, it feels very different, of course, when there's a different chair who kind of does the.

The chair always gives us kind of a summary at the end or, you know, where the chair's head is. It's always different. I only was there for one chair. It is kind of unusual that the former chair has now just kind of moved his seat over a couple of spaces. So he's still there. But I think it feels different. And it's the chair's new. You can see in the press conference, there's no stacks. The stacks are outside with the phones. You're not supposed to bring the stacks in there. He just has a different worldview. I mean, you can see it in the press conferences. You can see it in the talks. He just has a different worldview and he's wanting to rethink a bunch of the issues. He's publicly said he would like to get a little more stir up a little more debate. I think there was debate before and if we're going to have more change the format of the meetings or stuff like that, I'm open to thinking those. Paul is still there and you're sort of like two popes tension.

I don't know. Now you're trying to get me at some level in a different role. I'm not allowed to say what happens at times. But I just feel like the tone is, there's a new person, there's a new leadership. He's trying to do it different ways. And he's clearly getting his bringing it into his own of how he wants to run to the stuff. We're going to stop trying to get you into trouble. And I'm not going to ask what you think Warsh is going to say tomorrow. And again, we're recording this ahead of the speech. But what should we be looking out for? What would make you sit up in your seat and go, wait a second, this is different? Well, this is different than what? Then previous Jackson holes, previous Fed shares, something to take notice of. I'm going to be paying attention to broadly defined.

reaction function. You know, how do you see the economy as the chairman? And I'm hyper focused on this question of, is inflation going to be transitory or is it going to be persistent? Because if inflation is going to be persistent, then it's going to force action by the Fed or by any center. If it's going away on its own, Or if you even feel like it could go away on its own, then it puts us in a very different circumstance. So I think we're all going to be looking out for that. All right, Austin Gloesby, thanks for playing ball. Thanks for letting us try to get you into trouble. I really appreciate you coming back on our play.

Tracy, that was a lot of fun. I always love talking to Austin. I appreciate that he doesn't mind our efforts to get him into trouble to try and cause a little bit of tension. He plays along. He plays along. I appreciate it. I got to say, I know this episode is going to come out after Warsh's speech on Friday, but I'm so intrigued to see what he actually says. And now I'm kind of thinking, wouldn't it be...

funny, but not really. If you just spoke about financial innovation and payments for 40 minutes. Everyone is waiting for the chairman to say something about the state of the economy where the rate hikes are necessary. And he's like, well, I'm going to talk on theme. And I'm going to talk about the state of stablecoins and Fed now for 40 minutes. Exactly. That would be extremely funny, although. I guess we'll see. I'm glad we got into this point with Austin about the distinction between reaction function and forward guidance. Yeah. Because I actually do think there's a lot of sloppy discourse about it and people allied the two. And I think it makes it, you know, if you go back to the Greenspan, there weren't dots in those days. There weren't press conference, etc. The statements were a lot shorter. They're statements, it's very clear.

that the Fed is capable of operating with far less sort of like, both literal communication and quote, hand-holding about what it's going to do. I do think the deeper question is still what we got even with Austin, which is, okay, right now, as Austin said, he's more anxious about inflation. That's the sort of the burden is on the inflation side to improve. And otherwise, that would probably call for higher rates. And that is the reaction function question. And that is what we really haven't got yet. from the chairman at

least as of the 27th right now. Well, I also think it's funny. I remember under Powell when the Fed deviated from some of its forward guides and people were writing, this is the death of forward guidance back then. And now suddenly everyone's like, oh, it's dying again. I think this phrase was always kind of bad. I think, and I do, and I think this actually gets to the point that maybe we didn't need those dots forever. They served a purpose or the press conference or any of it.

And it was helpful to hear Austin describe it like, yes, you plug the conditions of the time post-GFC into a Taylor rule and it gets you to negative 6%. That's impossible. The Fed can't do that. So then leers on all these other things. We got to talk about it. We got to do whatever. Maybe these things really did not need to exist for as long as they did. And again, if maybe the task force says, we really don't need all this talk and dots and all this stuff. That might be totally wise. This is the other question about tomorrow because Warsh could talk about findings from the task forces, right? It's an early indication. So I guess anything and everything from stable coins to Fed comms is up for grabs. But shall we leave it there for now? Let's leave it there.

All right, this has been another episode of the OddLots podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wiesenthal. You can follow me at the stalwart. Follow our producers, Carmen Rodriguez at Carmen Herman, Dash O'Bennett at DashBot, Kale Brooks at Kale Brooks, and Kevin Lozano at Kevin Lloyd Lozano. And for more OddLots content, you should check out our daily newsletter. You can find that at Bloomberg.com forward slash OddLots. You can chat about all of these topics 24 seven in our Discord. discord.gg slash on. And if you like this conversation, if you enjoyed the video, then please like or leave a comment or better yet, subscribe. Thanks for watching or listening. Get essential news on the people and companies pushing the tech sector to new frontiers. Hi, I'm Ed Ludlow. Join me for Bloomberg Tech.

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